

TITLE INSURANCE

Title insurance protects the lender and borrower against financial loss from defects in title to real property and from the invalidity or unenforceability of mortgage loans. Title insurance will defend against a lawsuit attacking the title or reimburse the insured for the actual monetary loss incurred up to the dollar amount of insurance provided by the policy.

The Title Policy must be issued on the most recent American Land Title Association (ALTA) policy form, and must not contain creditor's rights exclusion language adopted by ALTA. Short Form Title should be used on all eligible loans and should be included in the closing package.

In general, the basic elements of insurance protect the lender from losses from the following matters:

- The title to the property on which the mortgage is being made is either:
 - Not in the mortgage loan borrower,
 - Subject to defects, liens or encumbrances, or
 - Unmarketable.
- There is no right of access to the land
- The lien created by the mortgage:
 - is invalid or unenforceable,
 - is not prior to any other lien existing on the property on the date the policy is written, or
 - is subject to mechanic's liens under certain circumstances

There are (2) types of policies available:

- A Lenders policy that protects the lender in case of title or ownership issues and ensures the marketability of the property
- An Owner's policy which the borrower may obtain to protect their equity in the property in case of title or ownership issues

Flagstar requires a Lenders policy for at least the current principal balance of the mortgage for all non HELOC residential transactions (excludes Cooperatives)

HELOC TITLE INSURANCE

Home Equity Lines of Credit (HELOC) with loan amounts $\leq$ \$500,000.00 require a property report from Title 365 or **Flagstar approved HELOC title provider** for standalone products (not closing in conjunction with a first mortgage). Please refer to the HELOC product guidelines for loan amounts $>$ \$500,000.00

TITLE REVIEW

Upon receipt, the title should be reviewed for several important items:

SCHEDULE A: PROVIDES TRANSACTION INFORMATION ON THE LENDER, BORROWER, PROPERTY, AND COVERAGE

- Borrower names listed should match our application and system, and should match the buyers on the purchase contract
- Vesting information – Borrower(s) must be an individual or individuals. Vesting in a **Revocable Living Trust** is subject to the approval of the Underwriting department. Corporations, partnerships, and real estate syndication's are not eligible borrowers.



Title Insurance Policy Requirements

- Policy amount on the Lenders policy should match our loan amount
- Legal description should match the property address and address listed on the contract if a purchase

Note: Remember to reconfirm the coverage amount & potential fee impact when the loan amount changes

SCHEDULE B1: PROVIDES DETAIL ON REQUIREMENTS THAT MUST BE MET TO CLOSE

- Details Deeds of Trusts, liens, and judgments that must be satisfied and released
- Due or delinquent tax bills/assessments
- May include information on deceased owners
- Power of Attorney's listed if applicable
- May identify potential access issues

Note: Look for undisclosed liens that should be reviewed by the underwriter prior to closing

SCHEDULE B2: LISTS EXCEPTIONS TO TITLE. AN EXCEPTION IS A SPECIFIC ITEM THAT IS EXCLUDED FROM COVERAGE

- Standard exceptions – every commitment has standard or regional exceptions
- Exceptions – these include easements, encroachments, exemptions, CC&R's, etc. and must be reviewed against allowable exceptions (see Exhibit A)

Flagstar will not accept a survey exception to appear on title. A survey endorsement or survey is required if a survey exception appears in Section B2

Note: Any concerns, or requests to acknowledge or waive lender rights should be escalated to a Closing or Funding Manager for review

TITLE ENDORSEMENTS

A title endorsement is an addition to title insurance coverage that is attached to a title insurance policy. Typically endorsements provide coverage to items that would be considered an exception to the title insurance.

Flagstar requires an Environmental Protection Endorsement (ALTA 8.1) on all loans. Other endorsements listed below are required depending upon the transaction type, property state, property type, product, etc.

For all adjustable rate mortgages (ARMs), the appropriate ALTA form for Variable Rate Mortgages (ALTA Form 6, Variable Rate Mortgage; ALTA Form 6.1, Variable Rate Mortgage - regulations; or ALTA Form 6.2, Variable Rate Mortgage - Negative Amortization) must be attached. The appropriate ALTA forms are required, as applicable, ALTA Form 4, Condominiums; ALTA Form 4, PUDS; ALTA Form 7, balloons, comprehensive (on all loans with an oil and gas lease).

Transaction Type	Title Insurance Requirements
Conventional HomeStyle mortgage or FHA Section 203(k) home improvement mortgage	The policy must cover the full amount of the recorded mortgage, must be dated concurrently with the recordation of the mortgage, and must be updated to the date on which renovation work is completed.
Adjustable-rate mortgage	The policy must include the appropriate ALTA form for

Title Insurance Policy Requirements

Transaction Type	Title Insurance Requirements
	all adjustable rate mortgages (ARMs), the appropriate ALTA form for Variable Rate Mortgages (ALTA Form 6, Variable Rate Mortgage; ALTA Form 6.1, Variable Rate Mortgage - regulations; or ALTA Form 6.2, Variable Rate Mortgage - Negative Amortization)
Redelivered balloon mortgage after conditional right to refinance	The policy must ensure that any refinance balloon mortgage that is originated at the end of the balloon term constitutes a lien of the first priority on the property. Fannie Mae recommends, but does not require, an endorsement to the title policy that is available in most jurisdictions. This endorsement reflects the refinancing and extension of the maturity date, and adds the modification to Schedule A as part of the insured mortgage. This endorsement is issued at the time the new note is executed and the original mortgage document is modified to reflect the refinancing, and is not necessary when the refinance mortgage is documented by both a new note and a new mortgage.
Texas Section 50(a)(6) loan	An Equity Loan Mortgage Endorsement (Form T-42). The Form T-42 endorsement must include the optional coverage provided by paragraph 2(f) of the endorsement and there must not be any exceptions to, or deletions of, paragraphs 2(a) through 2(e) of the Form T-42 endorsement. A Supplemental Coverage Equity Loan Mortgage Endorsement (Form T 42.1). There must not be any exceptions to, or deletions of, paragraphs 1(a) through 1(k) of the Form T-42.1 endorsement, or any subsequent subparagraphs added to Paragraph 1 by any revision of the Form T 42.1 approved by the Texas Insurance Commission. Any other endorsement that provides additional optional mortgagee coverage that is approved by the State of Texas Insurance Commission. The endorsement must be obtained by the Seller for Texas Equity Section 50(a)(6) Mortgages originated on and after the date the endorsement becomes legally available. There must be no exceptions to, or deletions of, any paragraphs providing additional coverage in any such endorsement.
Texas T-30 – Agricultural Property Exemption	Requires the title company to issue a T-30 endorsement when the property being purchased has an existing agricultural exemption. This endorsement protects the new homeowner and the lender from the potential impact of subsequent taxes and assessments due to a rollback based on a change to land usage, ownership, etc. <i>Loans are not allowed to close without the T-30 endorsement.</i>
Conventional construction-to-permanent mortgage	When closed as a single transaction for both the construction loan and the permanent financing, the policy must be dated concurrently with the date of the mortgage and must include (1) a "pending disbursements" clause and (2) a final endorsement to the title policy that extends the effective date of the coverage to the later of the final construction advance date or the endorsement date. When closed as two separate transactions (one for the construction phase and one for the permanent financing), the policy must satisfy Fannie Mae's standard title insurance requirements for permanent mortgages.



Title Insurance Policy Requirements

Transaction Type	Title Insurance Requirements
Mortgages with remotely notarized loan documents	If the notarized document is a security instrument or an amendment to a security instrument, the remote notarization must be disclosed to the title company providing title insurance coverage and either: - an affirmative endorsement to the title insurance policy is obtained regarding Exclusion 3(b) in the standard ALTA terms and conditions; or - the title insurer has not taken an exception for the remote notarization in the title insurance policy and all related communications with the title insurer are kept in the mortgage loan file.
Solar Panels	All solar panels must be reviewed and approved by underwriting. Refer to the UW Guidelines for requirements.
Mortgages subject to leasehold estates	The policy must include an ALTA Endorsement 13.1-06
Condominium Unit Mortgage	The policy must include an ALTA Endorsement 4 or its equivalent.
Planned Unit Development (PUD) unit	The policy must include an ALTA Endorsement 5 or its equivalent.
Mortgages subject to restrictive agreement or restrictive covenant	The policy must include an ALTA Endorsement 9 or its equivalent.

INSURED CLOSING PROTECTION LETTER (CPL)

An Insured Closing Protection Letter from a **title insurance** underwriting company, which is designated for a specific transaction, must be submitted. The CPL must include the following:

- Dated letter
- Flagstar Bank, 5151 Corporate Drive, Troy, MI 48098
- Title company's name and address
- Signed by the underwriting company representative

Insured CPLs must be emailed to the Closer or uploaded via *Paperless File Manager* in Loantrac.

MERS

The Mortgage Electronic Registration System (MERS) is a database created by the mortgage banking industry to simplify the mortgage process by electronically tracking ownership and servicing rights for loans originated in the United States.

INSURED CLAUSE

MERS

(Originating Lender's Name) MERS solely as nominee for the lender and the lender's successors and assigns.

NON-MERS

(Originating Lender's Name) its successors and/or assigns.

REQUIRED TITLE INSURER RATINGS

The title insurance policy must be underwritten by a title insurer legally able to do business in the jurisdiction where the mortgaged premises are located. Title insurers issuing the final policy must have an "Acceptable"

Title Insurance Policy Requirements

rating as defined by the appropriate rating agency. This is an independent rating of the financial health of the title company.

Note: A loan submitted using an unsatisfactory title insurer may be subject to repurchase.

EXHIBIT A – SCHEDULE B2: ACCEPTABLE TITLE EXCEPTIONS

LIENS FOR TAXES NOT DUE

Exceptions for liens for real estate or ad valorem taxes and assessments that specifically state that such liens are not yet due and payable are acceptable.

ALL STATES

Taxes must be paid at closing if the property taxes are past due, or if the bill has been released and taxes are currently due, or will face either a loss of discount date or a pay without penalty date (“due date”) within 30 days of the closing date. The taxes must be paid by the Settlement Agent, Title Company, or Attorney acting as settlement agent. The tax escrows should not be forwarded to Flagstar Bank, to avoid further delay or potential delinquency due to servicing system set up of the payment process.

Refer to the State-Specific Property Tax Rules for due/payment dates (#4807)

UTILITY EASEMENTS

SUBSURFACE PUBLIC UTILITY EASEMENTS

Exceptions for subsurface public utility easements for local residential distribution, such as lines for gas and water, and cable for electric, telephone, or CATV utilities, are acceptable provided that the location of the easements are ascertainable and fixed. The exercise of the rights hereunder must not interfere with the use and enjoyment of any present improvements on the mortgaged premises or proposed improvements on which the appraisal or mortgage is based.

SURFACE PUBLIC UTILITY EASEMENTS

Exceptions for surface easements for public utilities for local residential distribution are acceptable provided that the location of the easement is ascertainable and fixed. The exercise of the rights hereunder must not interfere with the use and enjoyment of any of the following:

- Present improvements on the mortgaged premises
- Proposed improvements upon which the appraisal or mortgage is based
- Part of the mortgaged premises outside the easement and not occupied by improvements

ENCROACHMENTS ON PUBLIC UTILITY EASEMENTS

Exceptions for encroachments on easements for public utilities by a garage, tool shed, or similar structure that is not attached to, or a portion of, the dwelling structure are acceptable provided that the encroachments do not interfere with the use and enjoyment of the easements or the exercise of rights of repair and maintenance in connection therewith, and the borrowers have executed a Hold Harmless Letter.

RESTRICTIVE AGREEMENTS

Exceptions for restrictive agreements or restrictive covenants of record related to cost, use, setback, minimum size, and building materials, and architectural, aesthetic or similar matters (other than single-family-use restrictions on 2 to 4-family properties) are acceptable provided that the following conditions are met:

Title Insurance Policy Requirements

- The restrictive agreements or restrictive covenants do not create or provide for any lien that would be prior to the lien of the home mortgage nor provide for the elimination of the lien of the home mortgage.
- The terms and provisions of the restrictive agreements or restrictive covenants are commonly acceptable to private institutional mortgage investors in the area where the mortgaged premises are located.
- An endorsement to the title policy affirmatively insures that no violation of any such restrictive agreement or restrictive covenant exists and that any future violation shall not result in forfeiture or reversion of title.

MUTUAL EASEMENT AGREEMENTS

Exceptions for mutual easement agreements of record that establish a joint driveway or a party wall are acceptable if such improvements are constructed in any of the following ways:

- Partly on the mortgaged premises and partly on adjoining property or
- Wholly on the mortgaged premises or
- Wholly on the adjoining property

The easement agreement must allow all present and future owners and their heirs, successors, and assigns forever, unlimited use and enjoyment of the driveway or party wall without any restriction other than restriction by reason of the mutual easement owners' rights in common and duties for joint maintenance.

FENCE MISPLACEMENT

Exceptions for the fence misplacement on either side of the property line of the mortgaged premises are acceptable provided that neither the misplacement, nor a future correction thereof, will interfere with the use and enjoyment of any improvements on the mortgaged premises not occupied by improvements. The definition of fence in this section shall not include retaining walls or other permanent structures.

ENCROACHMENTS ON THE MORTGAGED PREMISES BY IMPROVEMENTS ON ADJOINING PROPERTY

Exceptions for encroachments on the mortgaged premises by improvements on adjoining property are acceptable provided that the following conditions are met:

- The encroachment must not touch any improvements on the mortgaged premises.
- The encroachment must not interfere with the use and enjoyment of any improvements on the mortgaged premises nor with the use and enjoyment of the mortgaged premises not occupied by improvements.

ENCROACHMENTS ON ADJOINING PROPERTY

Exceptions for encroachments on adjoining property by eaves or other projections attached to improvements on the mortgaged premises, or by structures such as tool sheds, or by a driveway appurtenant to the mortgaged premises are acceptable provided that there is an endorsement to the title insurance policy whereby the policy affirmatively insures against loss suffered by reason of the entry of a decree or court order requiring the removal of the encroachment.

OIL, GAS, WATER, AND MINERAL RIGHTS

Exceptions for outstanding oil, gas, water, and mineral rights are acceptable if commonly granted by private institutional mortgage investors in the area where the mortgaged premises are located, and

Title Insurance Policy Requirements

- The exercise of such rights will not result in damage to the mortgaged premises or impairment of the use or marketability of the mortgaged premises or residential purposes and there is no right of surface or subsurface entry within 200 feet of the residential structure, or
- There is a comprehensive endorsement that affirmatively insures the lender against damage or loss due to the exercise of such rights, and the exercise of such rights will not result in damage to the mortgaged premises or impairment of the use or marketability of the mortgaged premises for residential purposes.

SURVEY EXCEPTIONS

Survey exceptions are not acceptable. When the title insurance policy takes exception to survey matters, the title insurance company must either remove the exception or obtain an endorsement providing the insurance required. If the title company will not issue a policy without a survey exception, Flagstar Bank will not close or purchase the mortgage.